How to NOT get banned with Etsy's new AI policy

Channel: Takumi Hagino · Published: Nov 12, 2026 · Watch: https://www.youtube.com/watch?v=CyrXxpSIHqY Source: full transcript

📋 Executive Summary

Etsy launched an AI image policy banning misleading AI-generated product photos. Sellers must keep thumbnails realistic, ensure all images accurately reflect actual products, and shift winning products to real photography.

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🚨 Why Etsy Rolled Out the New AI Policy 0:00

- Etsy has enforced a new AI policy specifically targeting sellers who use AI in their product listing images
  - Some stores are already being flagged as non-compliant
- The root cause: a surge of buyer complaints about AI-generated content
  - Buyers order products and receive items that look nothing like the listing photos
  - Common issues: fake backgrounds, unrealistic lighting, product images so artificial that buyers can't tell if it's the right item
  - Described bluntly as "AI garbage" — buyers are fed up with it
- Etsy is now actively pursuing listings where AI is used in a way that **misleads buyers**
- Consequences for violations:
  - Listing removal
  - Permanent store suspension

🖼️ Rule 1: Your Thumbnail Must Be Clear and Realistic 1:13

- The thumbnail (first listing image) is the single most important image — it's what every potential buyer sees while browsing

- Etsy pays the most attention to this first image
- Requirements:
  - Must be clear and realistic
  - No AI-generated backgrounds allowed in the thumbnail
- Core principle: what the customer sees in the thumbnail must be exactly what they will receive

✅ Rule 2: Every Product Image Must Accurately Represent the Product 1:36

- This rule does NOT mean stopping AI use entirely — it means being precise and careful about how AI is used
- Acceptable AI uses:
  - Using AI to remove product backgrounds — completely fine
  - Using AI to place the product on simple, realistic backgrounds — also fine
- Prohibited AI uses:
  - AI tools that add details to the product that don't exist in reality
  - Changing colors to something not accurate
  - Making the product appear shinier or brighter than it actually is
- Every image uploaded to Etsy must accurately convey what the customer will actually receive

🏞️ Rule 3: Use Realistic Backgrounds Only 2:23

- This is where many sellers go wrong — using AI to create backgrounds that look obviously fake
- Example of a violation: selling jewelry with necklaces displayed on a model whose skin looks plastic — buyers and Etsy can now detect this
- Going forward, stick to:
  - Simple-looking background images
  - Basic textures and plain colors
  - White backgrounds or similar clean, neutral options

📸 Rule 4: Invest in Custom Photography for Winning Products 2:47

- Once a product is generating consistent sales, it's time to invest in real product photography
- You do NOT need to hire a photographer for every listing
- But if a product is already a proven winner with many buyers purchasing it, professional photography is necessary
- Benefits of real custom photos:
  - Protects you from AI policy violations
  - Builds trust with customers
  - Typically delivers a significantly better conversion rate — buyers can see exactly what they're buying

> Investing in real photos for your winning products is the single most effective way to simultaneously avoid policy bans and accelerate store growth.

🔒 Exclusive Strategies (Coaching Upsell) 3:12

- The host mentions additional strategies for reducing store suspension risk that he does not share publicly
  - Ways to get professional custom product images without hiring a photographer
  - Specific software combined with the right Chinese supplier to achieve this
  - A brand-new AI agent that automates the entire listing process
- These strategies and Chinese supplier connections are reserved exclusively for clients in his **one-on-one coaching program**
- To access: fill out the application link in the video description

📝 Quick Recap & Call to Action 4:00

- Summary of the four key rules:
  - Etsy's new AI policy targets sellers using AI specifically in their first (thumbnail) product image
  - Make your thumbnail extremely clean and professional — it must not look AI-generated
  - Every image in your listing must actually represent the real product
  - Stop using cheap AI-generated background images; switch to realistic images or custom photography for winning products
- Doing this will:
  - Speed up store growth
  - Build buyer trust
  - Keep you compliant with the AI policy
- Coaching offer: for help setting up an Etsy store to earn $5K, $10K, or $20K/month via dropshipping, apply via the link below for one-on-one mentorship
- Instagram: **easytokumi** (high-value content posted regularly)
- All links available in the video description